legislating the SEBI Act, setting up the National Stock Exchange (NSE), and the emergence of data sets and an academic community in the field. This combination—a strong team within government, organizational structures in government, and a supporting intelligentsia outside government—was able to work on a sustained basis from 1992 onward. This gave fundamental progress over the 1992-2001 period.

Similarly, the ‘R group’ reforms in the petroleum sector took place through a stable team over a six-year period.

Policy proposals such as demonetization have a certain silver-bullet appeal. We are encouraged to take one bold decision, and after that the problem of black money will be solved. Similarly, it is claimed that the HR problems of government will be solved by bringing in 500 lateral recruits. Real-world public policy success is generally found in more wonkish territory. [1]

Element 2: Participatory and therefore slow process

Policymaking that is done by a few people in government, under conditions of secrecy, is inadvisable as it lacks democratic legitimacy. It also yields poor results. No small team knows the answers. Wider participation, from experts and from practitioners, improves policy work. In addition, the process of participation seeds the private sector with a sense of what is coming, so they can develop business strategies ahead of time.

The sound process of drafting legal instruments consists of the following:

1. Clearly identifying a problem that needs to be solved,
2. Demonstrating that there is market failure,
3. Using a systematic process (cost–benefit analysis) to identify the lowest cost intervention that would address the problem,
4. Drafting a legal instrument that expresses the chosen best intervention,
5. Releasing these draft documents for public discussion,